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Read less news

Hey, Pro Briefers!

If you're keeping up with the markets, you've heard quite a bit about data centers. We even released a report on them back [in January 2025](#).

And they're on everyone's mind for good reason - driven by tech like cloud computing and AI, data centers have become major profit centers for big companies like Amazon and Google.



- Amazon Web Services generated \$30 billion in revenue in Q2 of 2025, with \$10 billion of that being operating profit.

But there's a problem. Data centers take *a lot* of energy.

- A single data center can consume enough energy to power 80,000 U.S. homes.

Data centers are causing the cost of energy to skyrocket, and it's becoming more expensive to run them, cutting into those profits.

- The U.S. Department of Energy expects energy usage from data centers to double, or even triple by 2028.

But the technology of tomorrow is going to require **even more data centers**.

Something has to change - and that's where we've identified an innovation shift.

Companies are investing money into new innovations, hoping to invent a new generation of data centers that aren't so energy-hungry.

Whether it's sinking them into the ocean or building them on the moon, companies are hedging their bets that new technology can help data centers beat the rising energy costs.

ANALYST REPORT

Tickers we're tracking:

Sea & Immersion: MSFT

Space: LUNR

Supply Chain: VRT

We went deeper into the research - check out more details from this report [here](#).

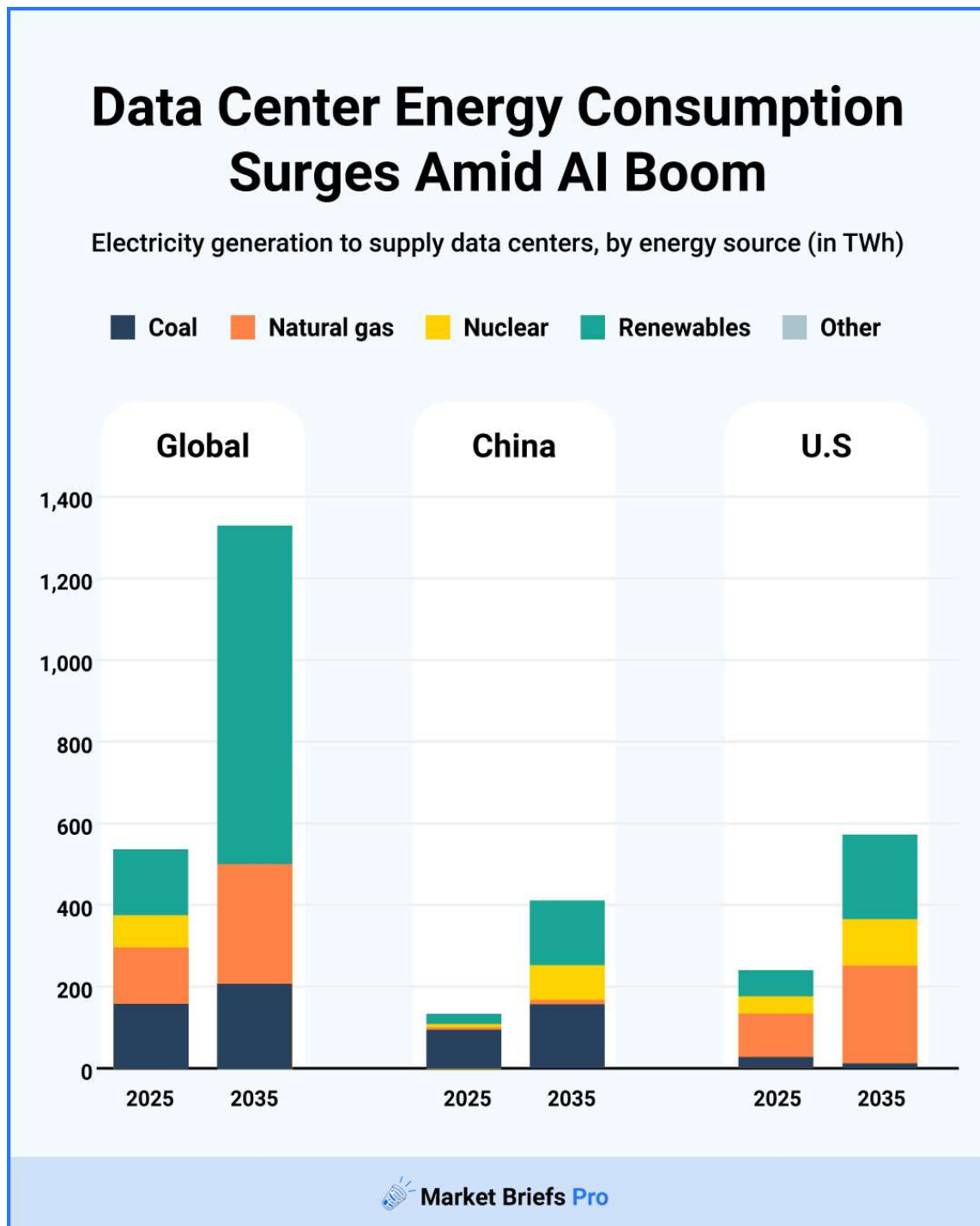
MARKET SHIFT

Solving The Energy Problem

Ultimately, the story of data centers is the story of energy.

Data centers are using more energy every year, and there are two main things driving that consumption:

- AI and quantum hardware that require thousands of times more power than standard computer chips.
- More heat being generated by that computing power, requiring more cooling.



Data via IEA

The next generation of technology requires more computing power.

As of today, there is seemingly no way to solve the first issue.

So what's left? There may not be a solution to the increased computing power, but there *are* solutions for cooling the machines.

Rather than attempting to spend even **more** energy on cooling data centers, companies are looking to create naturally cooler environments.

Small changes in the data center's temperature can end up being big savings.

UNDERWATER

Next Level Liquid Cooling

You might have heard of liquid cooling for computers - running cool liquid through a computer to lower the temperature.

When it comes to data centers, companies are looking to take this to the next level, submerging entire data centers underwater to lower temperatures.

So far? The results have been promising.

In addition to better energy efficiency, the contained environment is free of dust and other contaminants that can harm the computers.

The leader in this is Highlander Digital, a Chinese tech company that specializes in underwater infrastructure and other maritime technologies.



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Image [via](#) Stdaily

They're developing small, underwater data centers to be manufactured at scale.

The company claims these data centers have nearly eliminated the need for traditional air cooling, and are between 40% and 60% more energy efficient than traditional data centers.

Highlander Digital is listed on the Shenzhen Stock Exchange, and has seen strong growth driven by these data centers, with share prices up over 130% YTD.

HIGHLANDER (300065.SZ)

YTD Price → **18.89**
(130.37%)



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Data [via](#) Yahoo! Finance

Highlander may be at the head of the pack, but at least one American company has used underwater data centers to kick-start its technology.

American tech giant Microsoft (MSFT) has been running its own experiments in underwater data centers.

In 2018: Microsoft submerged 864 servers in a sealed pod in the ocean, calling it Project Natick.

In 2020: Microsoft reclaimed the pod, gathering data on its performance.

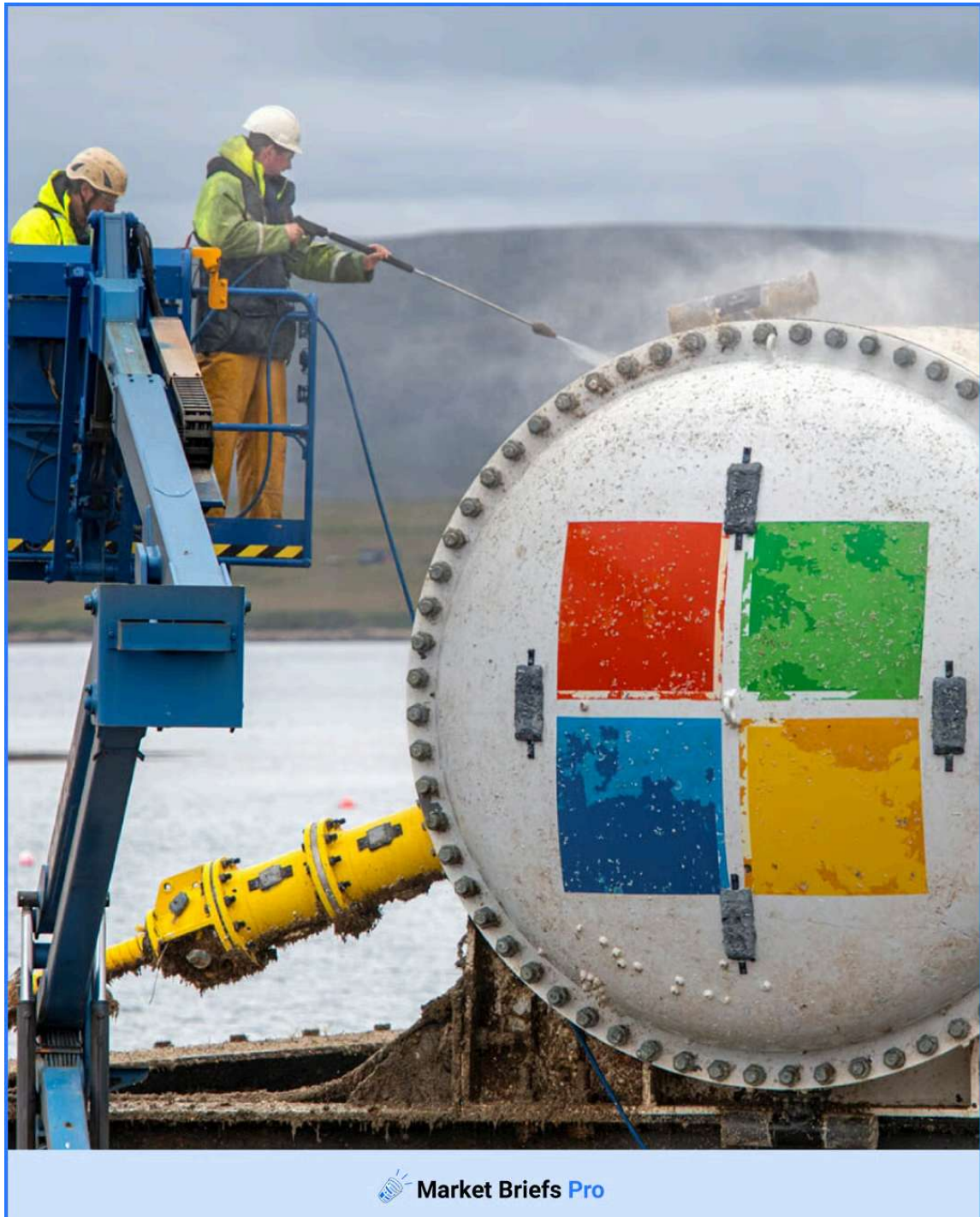
The result: Microsoft found that of the 864 servers in the pod, only 6 of them broke down - this means the failure rate was **8 times lower** than their

standard data centers.

The pod was also able to handle advanced processing tasks, including Microsoft's cloud computer service Azure.

So will Microsoft be converting all of its data centers into underwater pods?

Well, not quite...



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Image via Microsoft

In 2024: Microsoft announced that Project Natick had concluded, and it had no plans to keep developing underwater data centers.

Although the company decided to move away from underwater data centers, Project Natick led to the engineering that **will** be in the next

generation of Microsoft data centers.

The company's new data centers are sealed and easily deployable, and use what's called immersion cooling, where the computers themselves are submerged in a special liquid.

Microsoft has not only bet big on data centers, but also on the AI and cloud computing technologies that data centers power.

Its forward thinking and innovations in these fields are why it has not only survived major upheavals in the tech world, but consistently outperformed the market.



- Up more than 20% YTD and 150% in the past 5 years, Microsoft has beaten the S&P 500 all but 4 years since 2010.

Although Project Natick might be over, the learnings have given Microsoft a significant edge, and unlike Highlander Digital, it stands to benefit directly from these innovations.

Breakthroughs in immersion and underwater data centers could keep Microsoft ahead of the market for years to come.

SPACE

Data's Final Frontier?

In the quest for cooler data centers, companies haven't just been sinking them down; they've also been shooting them up.

The final solution for data centers could be the final frontier: space.

Why? We spoke to Christopher Stott, the CEO of Lonestar Data Holdings.

Until earlier this year, the idea of putting data centers in space was theoretical.

Lonestar actually made it happen.



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Image via Space Insider

When we asked why he thinks space is a solution for data centers, Stott said:

"Why space for data centers? Think about space simply as a new data center region with its own unique geography...The unique physical properties give us access to free clean energy and natural cooling..."

In February of this year, Lonestar Data Holdings successfully launched a data center into lunar orbit.

While in orbit, the center successfully completed processing tasks for a number of clients.

It attempted to land on the surface of the moon in February, but was unable to stay upright and had to cease operations.

Lonestar is looking ahead, beginning to offer commercial orbital data centers, and continuing efforts to successfully land one on the moon.

The bad news: Lonestar is a private company and currently has no plans for an IPO.

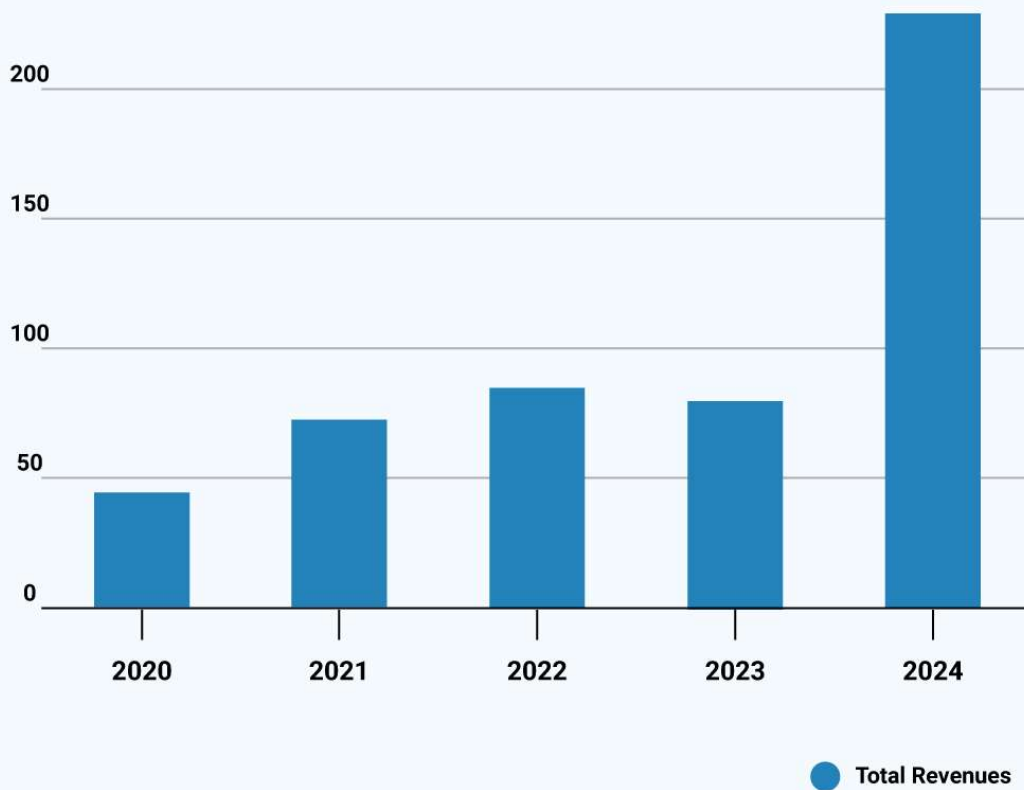
The good news: The company that manufactures landing crafts for Lonestar is public.

So far, Lonestar has partnered with Intuitive Machines (LUNR) for testing. Intuitive specializes in lunar landing crafts.

- In February of 2024, Intuitive became the first company to complete a soft landing on the moon using a U.S.-built craft in 51 years.

Intuitive Machines, Inc. Revenue (LUNR)

Revenue in millions (USD)



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Data [via](#) Intuitive Machines

Intuitive is still operating at a loss, but it seems to be making rapid progress towards profitability.

- Company revenue jumped from \$79.5 million in 2023 to \$228 million in 2024.

The company's stock has seen a fair amount of volatility, showing strong growth over the past 6-month or 12-month periods, but has been down significantly YTD.

In addition to being a small-cap company, the stock has been volatile due to uncertainty around the business.

Intuitive Machines, Inc. (LUNR)

1 Year Price



9.15
(59.97%)



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Data [via](#) Yahoo! Finance

With the U.S. having a recent focus on space, competitors have seemingly caught up with Intuitive, also managing to land crafts on the moon.

And while Intuitive claims to be on track to reach profitability, as of today, the company is losing money.

Still, through its partnerships with companies like Lonestar, Intuitive Machines has greatly increased its revenue.

These partnerships make Intuitive Machines one of the only ways investors can invest in data centers in space.

Big Data? Broad Approach

These are examples of companies that are truly pushing the edge in data center innovation, but these companies rely on innovation throughout the data center supply chain.

Many of the companies mentioned above, as well as their competitors, depend on parts and infrastructure from Vertiv Holdings (VRT).

Vertiv provides many of the nuts and bolts parts that keep data centers running.

Things like thermal management systems that work underwater, or the actual sealed pods for the environmental centers.

Vertiv Holdings Co (VRT)

1 Year Price



136.65
(57.09%)



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Data [via](#) Yahoo! Finance

Being a critical provider for so many companies in the industry has allowed Vertiv to be a consistent performer, up 57% over the last year and more than 600% over the last 5 years.

Vertiv won't be inventing or operating the next generation of data centers, but their equipment will almost certainly be in them.

For this reason, investors looking to benefit from these innovations from a broad perspective may find Vertiv appealing.

Investors looking for a broad approach to the sea-side of this shift might look towards the Global X Data Center & Digital Infrastructure ETF (DTCR).

This ETF holds many companies, such as Vertiv, that are directly involved in either underwater or immersion technologies.

Global X Data Center & Digital Infrastructure ETF (DTCR)

YTD Price

19.85
(19.87%)



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Data [via](#) Yahoo! Finance

And investors who think space technology is going to send data centers to the moon (literally)? They can look to the Procure Space ETF (UFO).

This ETF is dedicated to the commercial space industry, holding many of the space companies that are helping to build infrastructure among the stars.

RISKS

An Either/Or Situation

Both sides of this shift are radically different solutions to the same problem, but the market might only want one solution.

We may end up with data centers both undersea and in space, but it seems more likely that the market settles on a single solution - it might just be whichever is first to market.

And similar to most industries in tech, something new could come along and make these obsolete.

If the next generation of AI or quantum computing finds a way to be more energy-efficient, there may not be as much focus on heat.

There's also regulatory risk, we may see regulations come through that limit what can be sunk under the sea or launched into space.

REVIEW

The Future Is Now?

Both of these solutions seemed far-fetched just a few years ago, but the industry is moving quickly.

We have seen successful examples of data centers functioning both underwater and in space, and regardless of which path comes out on top, one thing is clear:

Current data center projections are not sustainable.

Something's gotta give, and with such rapid advancements in these technologies, it seems likely that one of these solutions will lead to the data centers of tomorrow.



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